



PriceSmart, Inc.

(NASDAQGS: PSMT)

Consumer Staples Merchandise Retail

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Company Overview

PriceSmart operates U.S.-style membership warehouse clubs across 14 countries and one U.S. territory in Latin America and the Caribbean. As of 2026, the company operated 57 clubs across three reportable segments: Central America, the Caribbean, and South America (Colombia now and Chile too in the future).

Thesis: “The market is pricing PriceSmart for sustained long-run growth so that its own expansion economics cannot deliver within a defensible investment horizon of 5 years. While the absence of direct club-store competition across PriceSmart's footprint supports a long-term growth story, three distinct and reinforcing pressures, undisclosed margin efficiency requirements, structurally long capital payback periods, and a risk-mismatched valuation multiple, indicate the current share price has assumptions the underlying business has not yet earned the right to be valued on”

Business Overview

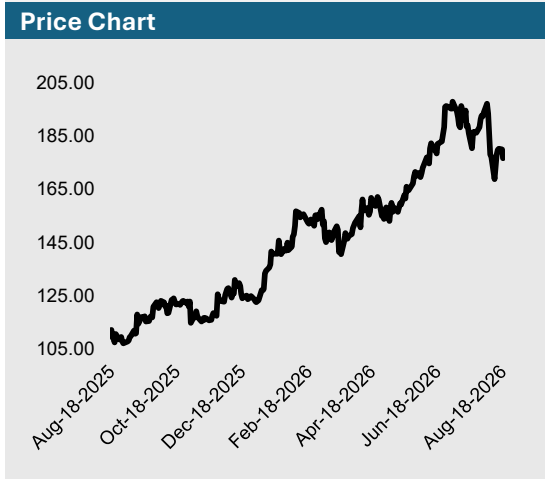
Founded in 1993, PriceSmart operates a warehouse club retail chain in which members pay an annual fee in exchange for access to bulk-discounted merchandise. Despite being headquartered in the United States, PriceSmart's operations are concentrated in Latin America, divided across Central America, the Caribbean, and South America.

The company offers a broad product mix spanning food and household goods to health services such as optical, audiology, and pharmacy, blending U.S.-style branded merchandise with locally sourced goods and its own private label, Member's Selection.

Equity Research	US
Price Target	\$124.89
Rating	Sell
Share Price (Aug.24 Close)	\$169.46
Implied Upside	-26.30%

Key Statistics	
Market Capitalization	\$5.396B
Total Debt	\$198.9M
Enterprise Value	\$5.23B
Total Debt/EBITDA	0.51
P/E	39.9x
Market Cap/Revenue	1.12x
EPS (NTM)	\$5.21

Analyst Forecast	2026E	2027E	2028E
Revenue	5,744M	6,302M	6,633M
EBITDA	332.1M	364.6M	335.8M
Net Income	150.9M	161.1M	171.4M
UFCF	72.8M	89.5M	132.9M



FY2025 revenue reached \$5.27 billion (+7.2% YoY), with net income of \$147.9 million (\$4.82 diluted EPS) and Adjusted EBITDA of \$320.7 million. Momentum has continued into fiscal 2026: for the nine months ending May 31, 2026, comparable net merchandise sales grew 8.8% (6.4% constant currency), and the trailing twelve-month membership renewal rate reached an all-time high of 90.5%, with Platinum membership penetration rising from 16.1% to 21.3% year-over-year.

Strategy

1. Club network expansion (the core growth lever)

Management's own "Growth Plan" slide frames this as: add new locations, expand into new markets, remodel existing clubs, and open more distribution centers. Concretely this means:

- **Geographic expansion into Chile:** the first new-country entry since Colombia in 2011, with the first club (Comuna Las Condes, Santiago) set to open in spring 2027, plus two more sites already under land agreements.
- **Steady incremental openings in existing markets:** clubs #58 through #63 are already announced through spring 2027, so the near-term growth algorithm is still mostly "more clubs in the countries we already know," with Chile as the single new-market bet.
- **Distribution infrastructure:** Miami Global Distribution Center, Costa Rica produce center, Panama in-country DC, built ahead of/alongside store growth to support the network.

2. Increasing membership value (retention/monetization of existing members)

- **Platinum tier push:** penetration has gone from 7.4% to 21.3% of members over FY2022–FY2026 YTD, with Platinum member count compounding at 40% CAGR. This is a real, measurable monetization lever independent of new-club capex.
- **Wellness services (optical, pharmacy, audiology):** positioned as membership-value adds tied to renewal, not standalone profit centers; expanding pharmacy locations (+5 planned FY2026) and optical (+1).
- **Private label (Member's Selection):** 26.7% of net merchandise sales as of the nine months ended May 2026, used to defend margin and differentiate from pure grocery/import resellers.
- **The "Six Rights" value proposition:** (right merchandise, place, time, quantity, condition, price) is management's framing for the warehouse-club model itself, low SKU count, large pack sizes, treasure-hunt merchandising, volume buying passed through as savings.

3. Digital/omnichannel build-out

PriceSmart.com, the mobile app, Click & Go pickup, and home delivery. The stated rationale is that omnichannel members spend more than in-club-only members, so this is a spend-per-member lever layered on top of the membership base rather than a new customer-acquisition channel

Industry Analysis

PriceSmart makes more than 97% of its income from merchandise sales.

Market Size

Industry revenue: \$792.5 billion (2026), covering 16 businesses and 2 million employees. Broken out by product category: food and beverages \$300.4bn (37.9% share), home and appliances \$188.6bn (23.8%), health/beauty/wellness \$145.8bn (18.4%), fuel and other \$118.1bn (14.9%), apparel and accessories \$39.6bn (5%). Total industry profit is \$24.6bn, a 3.1% margin.

Growth Rates

Metric	2021-26 CAGR	2026-31E CAGR
Revenue	2.70%	1.50%
Employees	1.70%	1.40%
Businesses	1.20%	1.20%
Profit	0.90%	1.50%
Wages	0.90%	-
Revenue per employee	1.00%	0.10%
Revenue per business	3.90%	0.30%
Profit margin	+0.6pp	-
2026 revenue growth (single year)	1.70%	-

Competitors

In PriceSmart's core Central American and Caribbean markets, the primary competition is fragmented local/regional retail rather than another club-store operator. In its most developed single market, Colombia, the relevant competitor is Almacenes Éxito, the dominant traditional supermarket/hypermarket incumbent. At the format level globally, Costco, Walmart (via Sam's Club), and BJ's Wholesale Club is the mature-market version of the club-store model PriceSmart has in earlier-stage economies. Additionally, MercadoLibre represents the region's dominant e-commerce competitor, though positioned as a partial substitute in electronics and general merchandise rather than PriceSmart's core bulk/fresh-food categories.

Structural Industry dynamics

Competitive intensity, low, format-level: No incumbent club-store operator exists across most of PSMT's locations of operations (Central America, Caribbean, most of South America); the relevant competitive set is fragmented local SMEs and traditional supermarkets, not a direct format peer

Barriers to entry, regulatory and capital, not competitive: The binding constraint on PSMT's own expansion is property rights, regulatory clarity, taxation, and multi-year site/DC buildout timelines (Chile cited as a 5-year groundwork process) rather than competitive pressure from rivals

Substitutes, narrower than the US case: E-commerce (Mercado Libre, Amazon) is characterized as adjacent rather than substitute, concentrated in electronics/general merchandise rather than PSMT's core fresh food/bulk staples categories, where physical/cold-chain logistics remain a moat

PriceSmart faces no direct club-store competitor, but its growth ceiling is capital-gated, not competitive.

Regulatory diligence, property rights, and multi-year site/DC buildout (compounded by hurricane-resilient construction costs) pace expansion just as much as demand does. This matches our bottom-up finding that club-level paybacks run 7–11 years. A valuation pricing in sustained growth over a 5-year window is pricing in a pace of capital deployment the underlying economics don't support.

Management

Robert E. Price: Executive Chairman of the Board

Executive Chairman since September 2025 (moving up from Interim CEO, a role he'd held since February 2023). He's been Chairman of the Board continuously since PriceSmart's 1997 spin-off from Price Enterprises, and previously served as CEO in two separate stints (most recently April 2006–July 2010). He co-founded The Price Company (parent of the original Price Club) in 1976 with his father Sol Price, running it until the 1993 merger with Costco.

David N. Price: Chief Executive Officer & Director

CEO since September 1, 2025; with the company since July 2017, rising through ecommerce, omnichannel, ESR, chief-of-staff, and Chief Transformation Officer roles before the top seat. Board member since February 2022.

John D. Hildebrandt: President & Chief Operating Officer

Hildebrandt has been continuously employed at PriceSmart (and its predecessor Price Enterprises) since 1996, nearly 30 years, cycling through Country Manager (Philippines/Panama), Senior Operations Manager, VP, and a long ladder of regional EVP operations roles (Caribbean & Asia, Central America, Central America & Trinidad) before becoming EVP Operations in 2010, then COO in 2022, then President & COO in December 2022. He's the person who was already running day-to-day operations through the Bahrambeygui exit, the Robert Price interim period, and now the David Price transition.

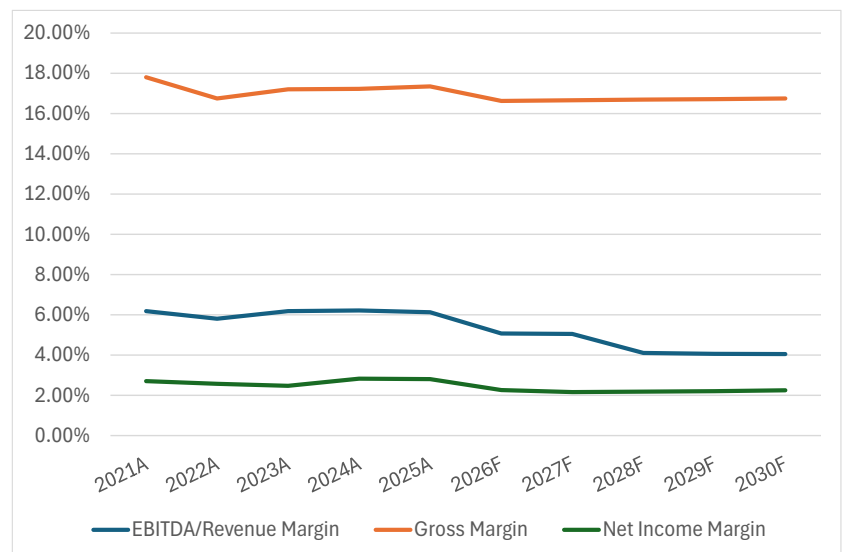
Gualberto Hernandez: EVP & CFO

CFO since June 2025, prior decade in Latin America finance leadership at Estée Lauder (including La Mer), before that Sephora, Fendi, Dior, Mondelēz, Carrefour.

Thesis

Thesis 1: Expansion Pace Outstrips Disclosed Efficiency Gains

At PriceSmart's current store-opening cadence, our model (built on average per-club productivity and cost assumptions) shows consolidated margins (Gross Margin, EBITDA/Revenue, and Net Income Margin) decreasing. Sustaining current margins at this pace of growth requires efficiency gains (COGS/Revenue, SG&A/Revenue) that management has not disclosed a specific plan to capture. Some initiatives (increasing omnichannel sales) are directionally positive, but they are not yet quantified in guidance in a way that would offset the margin drag of continued rapid unit growth. Absent a clearer efficiency roadmap, our base case assumes margins compressing as the store base scales, a headwind the market does not appear to be pricing in.



Thesis 2: Capital Payback Is Structurally Long, and South America Concentrates the Risk

On a discounted cumulative EBITDA-to-capex basis, individual club paybacks run approximately 7 years in Central America, 7 years in the Caribbean, and 11 years in South America. These should be considered as floors given the flat-average-EBITDA simplification underlying them, remaining unchanged in the bull case, and in the bear, case becoming 8 years for Central America, remaining at 7 years for the Caribbean, and lengthening to 11 years for South America. This finding is consistent with, not contradicted by, our positive NPV: a Gordon Growth terminal value can render a project NPV-positive even while its explicit 5-year IRR is negative, because the terminal value has not yet been generated within that 5-year window. The practical implication is that each new club opening represents a multi-year drag on consolidated EBITDA before it becomes accretive. South America, the region carrying both the newest, least-ramped store base (via Chile's 2027 entry), carries the greatest exposure to this dynamic. If disclosed efficiency gains fail to materialize as described in Thesis 1 to improve EBITDA/Revenue margins, incremental store-level investment in this region could turn EBITDA-negative rather than merely slow-payback.

Payback Period in Base Case:

Central America Club Payback Period															
	2026F	2027F	2028F	2029F	2030F	2031F	2032F	2033F	2034F	2035F	2037F	2037F	2037F	2037F	2037F
Cost Paydown	42,360	36,638	30,801	24,848	18,775	12,581	6,207	(352)	(7,102)	(14,048)	(77,400)	(86,389)	(86,389)	(86,389)	(86,389)
Paydown	5,722	5,837	5,953	6,073	6,194	6,374	6,559	6,750	6,946	7,148	8,989	0	0	0	0
Payback Period	7														

Caribbean Club Payback Period															
	2026F	2027F	2028F	2029F	2030F	2031F	2032F	2033F	2034F	2035F	2037F	2037F	2037F	2037F	2037F
Cost Paydown	42,360	36,425	30,372	24,197	17,899	11,476	4,865	(1,938)	(8,939)	(16,143)	(81,847)	(91,170)	(91,170)	(91,170)	(91,170)
Paydown	5,935	6,053	6,175	6,298	6,424	6,611	6,803	7,001	7,204	7,413	9,323	0	0	0	0
Payback Period	7														

South America Club Payback Period															
	2026F	2027F	2028F	2029F	2030F	2031F	2032F	2033F	2034F	2035F	2037F	2037F	2037F	2037F	2037F
Cost Paydown	42,360	38,817	35,203	31,517	27,756	23,921	19,974	15,913	11,733	7,432	(31,795)	(37,361)	(37,361)	(37,361)	(37,361)
Paydown	3,543	3,614	3,686	3,760	3,835	3,947	4,061	4,180	4,301	4,426	5,566	0	0	0	0
Payback Period	11														

IRR in 5 years and NPV in Base Case:

NPV of stores in Central America	\$79,249
NPV of stores in Caribbean	\$84,743
NPV of stores in South America	\$22,907
IRR over 5 years in Central America	-4%
IRR over 5 years in Caribbean	-2%
IRR over 5 years in South America	-28%

Thesis 3: The Market Is Mispricing PriceSmart's Risk Relative to Its Peer Set

Based on Selected comparable companies, PriceSmart trades at 14.8x NTM EV/EBITDA and 33.7x NTM forward P/E, multiples that sit far closer to Walmart (19.7x / 38.5x), Costco (25.6x / 42.3x), and MercadoLibre (23.8x / 46.4x) than to its direct Latin American retail comparables, Éxito (4.7x / 8.7x), Cencosud (7.9x / 13.0x), and InRetail Perú (6.6x / 13.5x). This is difficult to justify on a risk-adjusted basis. Costco and Walmart generate most of their revenue in the US, in a single, stable, dollar-denominated jurisdiction free of the FX, property rights, and capital repatriation exposure PriceSmart carries across twelve-plus emerging markets. MercadoLibre operates in the same higher-risk jurisdictions PriceSmart does but without PriceSmart's capital-intensiveness for club buildout economics. Also, Cencosud, the Chile-based incumbent PriceSmart will compete against directly upon its 2027 market entry, trades at less than half PriceSmart's forward EV/EBITDA multiple despite operating in the same market PriceSmart is entering, and at a similar scale across multiple Latin American countries. PriceSmart is priced close to two businesses with structurally lower geographic risk and one business with structurally lower

capital intensity, while trading at a meaningful premium to three direct regional retail peers that share its currency, regulatory, and capital-intensity exposure. This implies the market is not adequately discounting the company for either its emerging-market risk profile or its capex-heavy unit economics.

Taken together, slower-than-priced-in margin expansion (Thesis 1) lengthens an already extended capital payback (Thesis 2), while the market continues to value the business as though it carries the risk profile of a mature, single-jurisdiction operator (Thesis 3). We view this combination as sufficient to support a blended valuation implying meaningful downside from the current share price.

Segment Profitability

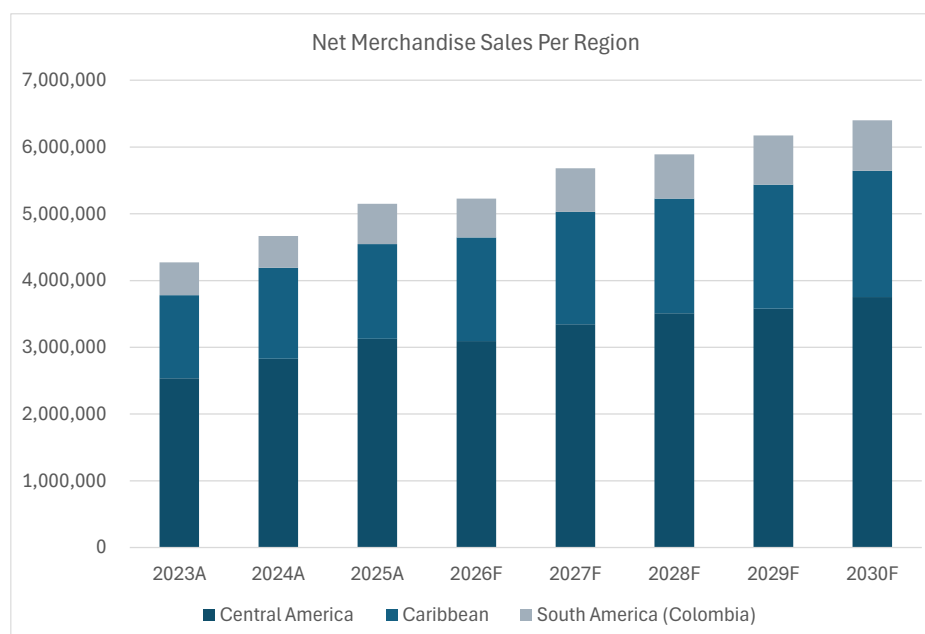


CHART: Club count by region, FY2026 to FY2030E:

	2026F	2027F	2028F	2029F	2030F
Beg. Clubs					
Central America	33	35	36	36	37
Caribbean	16	17	17	18	18
South America	10	11	11	12	12
New Clubs					
Central America	1	2	1	0	1
Caribbean	2	1	0	1	0
South America	0	1	0	1	0
New Clubs	3	4	1	2	1
Total Clubs	59	63	64	66	67

Base

Central America	1	0	1
Caribbean	0	1	0
South America	0	1	0
Bull			
Central America	2	1	1
Caribbean	0	1	0
South America	1	1	0
Bear			
Central America	0	0	0
Caribbean	0	0	0
South America	0	0	0

Valuation

DCF Analysis

Revenue. Revenue was built across four components: Net Merchandise Sales, Membership Income, Export Sales, and Other Revenue. Net Merchandise Sales was further disaggregated across three regions in our model: Central America, Caribbean, and South America (the last comprising Colombia's existing 10-club base and PriceSmart's first Chile club, opening spring 2027), each forecast independently based on confirmed club count and per-club productivity.

Revenue per business segment:

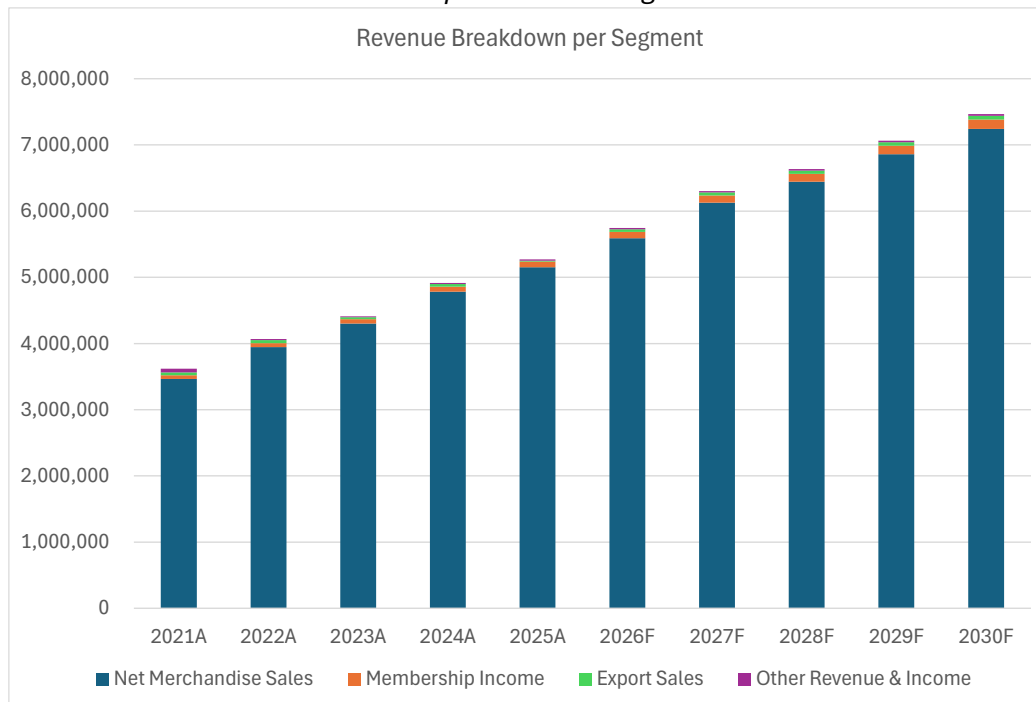


CHART: Sales per Region:

Net Merchandise Sales Per Region										
Sales in Constant Currency	2021A	2022A	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Central America			2,534,080	2,830,078	3,127,113	3,091,972	3,344,952	3,509,332	3,579,519	3,752,529
Caribbean			1,245,517	1,360,813	1,418,914	1,554,805	1,685,020	1,718,721	1,856,218	1,893,343
South America (Colombia)			492,581	478,107	605,093	580,163	650,943	663,962	738,809	753,585
	3,541,772	4,023,457	4,273,078	4,668,998	5,151,120	5,226,941	5,680,915	5,892,015	6,174,546	6,399,456
Impact of Foreign Currency Exchange										
Central America	(38,477)	(48,135)	85,022	78,365	21,357	18,817	20,451	21,211	22,228	23,038
Caribbean	(27,069)	6,680	5,183	(29,456)	(24,541)	(16,562)	(18,000)	(18,669)	(19,564)	(20,277)
South America	(10,784)	(37,185)	(62,577)	65,212	(33,604)	(20,372)	(22,142)	(22,965)	(24,066)	(24,942)
	(76,330)	(78,640)	27,628	114,121	(36,788)	(18,117)	(19,691)	(20,422)	(21,402)	(22,181)
Net Merchandise Sales	3,465,442	3,944,817	4,300,706	4,783,119	5,114,332	5,208,823	5,661,224	5,871,592	6,153,144	6,377,275
Drivers										
Central America	-1.09%	-1.20%	1.99%	1.68%	0.41%	0.36%	0.36%	0.36%	0.36%	0.36%
Caribbean	-0.76%	0.17%	0.12%	-0.63%	-0.48%	-0.32%	-0.32%	-0.32%	-0.32%	-0.32%
South America	-0.30%	-0.92%	-1.46%	1.40%	-0.65%	-0.39%	-0.39%	-0.39%	-0.39%	-0.39%
Scenario Analysis of Currency Exchange										
Base										
Central America						0.36%	0.36%	0.36%	0.36%	0.36%
Caribbean						-0.32%	-0.32%	-0.32%	-0.32%	-0.32%
South America						-0.39%	-0.39%	-0.39%	-0.39%	-0.39%
Bull										
Central America						1.99%	2%	2%	2%	2%
Caribbean						0.17%	0%	0%	0%	0%
South America						1.40%	1%	1%	1%	1%
Bear										
Central America						-1.20%	-1%	-1%	-1%	-1%
Caribbean						-0.76%	-1%	-1%	-1%	-1%
South America						-1.46%	-1%	-1%	-1%	-1%

COGS. Cost of goods sold was split between Net Merchandise Sales COGS and Export Sales COGS, each forecast using the trailing five-year average margin. This average was highly consistent historically, ranging between 84.0%

and 84.3% of Net Merchandise Sales (averaging 84.29%), and between 94.3% and 95.3% of Export Sales (averaging 94.95%), with minimal year-over-year variation in either.

SG&A. Primary composed of Depreciation, General & Administrative expenses, and Warehouse & Other Operations costs. Depreciation was calculated as 57% of Capex based on average Capex percentages. General & Administrative expenses were calculated as an amount increasing at the average growth rate in the last 5 years. Lastly, Warehouse & Other Operations were also calculated as an amount increasing at the average growth rate in the last 5 years.

CAPEX & Depreciation. Capital expenditures were split into Maintenance Capex and Growth Capex. Growth Capex was sourced directly from the cost of opening new clubs, averaging approximately \$45,122 thousand per club across FY2026 to FY2027, and recognized only in years with confirmed openings. Maintenance Capex was derived as the residual between historical total Capex and Growth Capex, averaging approximately \$1,508 thousand per club in the forecast period. Depreciation was forecast at 57.0% of total Capex, the trailing five-year average of this ratio (which itself ranged widely, from 43.8% to 71.4%, reflecting the lumpiness of club-opening years).

Net Working Capital.

Current Assets: Receivables were forecast using Days Sales Outstanding, averaging approximately 1.3 days over the trailing five years, consistent with a predominantly cash- and card-settled retail business rather than a trade-receivables-heavy one. Inventories were forecast using Days Inventory Outstanding, averaging approximately 48.4 days. Prepaid Expenses and Other Current Assets were forecast as a fixed percentage of revenue, averaging approximately 1.18%.

Current Liabilities: Accounts Payable were forecast using Days Payable Outstanding, averaging approximately 44.6 days, notably longer than the company's Days Inventory Outstanding, meaning vendors effectively finance the majority of PriceSmart's inventory cycle. Accrued Salaries, Benefits and Related were forecast at approximately 11.0% of Warehouse Club and Other Operations expenses. Deferred Income was forecast at approximately 49.3% of Membership Income, reflecting an even split of membership terms across the fiscal year under ratable recognition. Other Accrued Expenses and Other Current Liabilities were forecast at approximately 1.12% of Net Merchandise Sales.

Comps

Format peers (same business model, lower-risk jurisdictions)

1. **Costco Wholesale (NasdaqGS:COST):** the original membership warehouse-club model PriceSmart licenses and adapts; the primary format benchmark
2. **Walmart Inc. (NasdaqGS:WMT):** operates the format via Sam's Club, and competes with PriceSmart directly in Central America through Walmex
3. **BJ's Wholesale Club (NYSE:BJ):** a single-country warehouse-club operator, useful for isolating format economics without emerging-market FX or political risk

Direct regional peers (same jurisdictions/currency exposure, different format)

4. **Almacenes Éxito (BVC:EXITO):** the dominant traditional supermarket/hypermarket incumbent in Colombia, PriceSmart's largest single market

5. **Cencosud (SNSE:CENCOSUD)**: a multi-format retailer operating in Chile, Argentina, Brazil, Colombia, and Peru; the incumbent PriceSmart will compete against directly upon its Chile market entry
6. **InRetail Perú (BVL:INRETC1)**: a multi-format LatAm retailer (supermarkets, pharmacies, malls) with no direct operational overlap, but included as a comparable sharing PriceSmart's core risk exposures: local-currency revenue, EM regulatory and political risk, and capital repatriation considerations absent from the US-domiciled comparables

Named competitive threat (asset-light, same jurisdictions)

7. **MercadoLibre (NasdaqGS:MELI)**: the region's dominant e-commerce and fintech platform, cited as a partial substitute for general merchandise and electronics categories rather than PriceSmart's core fresh food/bulk staples; included for competitive-dynamics context and as a valuation-multiple reference point rather than a fundamental peer

Company Name	NTM TEV/Forward Total Revenue (Capital IQ)	NTM TEV/Forward EBITDA (Capital IQ)	NTM Forward P/E (Capital IQ)	NTM TEV/Forward EBIT (Capital IQ)	5 Year beta
Almacenes Éxito S.A. (BVC:EXITO)	0.44x	4.73x	8.65x	6.98x	0.19
Cencosud S.A. (SNSE:CENCOSUD)	0.67x	7.86x	12.96x	10.22x	0.09
Walmart Inc. (NasdaqGS:WMT)	1.29x	19.65x	38.51x	28.47x	0.61
InRetail Perú Corp. (BVL:INRETC1)	0.86x	6.60x	13.46x	9.21x	0.19
MercadoLibre, Inc. (NasdaqGS:MELI)	2.38x	23.80x	46.43x	33.36x	1.31
BJ's Wholesale Club Holdings, Inc. (NYSE:BJ)	0.60x	11.50x	19.44x	16.57x	0.19
Costco Wholesale Corporation (NasdaqGS:COST)	1.25x	25.58x	42.31x	31.73x	0.86
PriceSmart, Inc. (NasdaqGS:PSMT)	0.91x	14.81x	33.71x	20.98x	0.77

Summary Statistics	NTM TEV/Forward Total Revenue (Capital IQ)	NTM TEV/Forward EBITDA (Capital IQ)	NTM Forward P/E (Capital IQ)	NTM TEV/Forward EBIT (Capital IQ)	5 Year beta
High	2.4x	25.6x	46.4x	33.4x	1.31
Low	0.4x	4.7x	8.7x	7.0x	0.09
Mean	1.1x	15.2x	28.9x	21.0x	0.53
Median	0.9x	14.8x	33.7x	21.0x	0.40

Valuation Summary

Base Case Price Weighting

Summary	
Methodology	Weight
GGM	40%
TV Exit Multiple NTM EV/EBITDA	25%
TV Exit Multiple NTM P/E	10%
TV Exit Multiple NTM EV/EBIT	25%
Implied Price	\$124.89
Implied Upside/Downsied	-26.30%

We value PriceSmart using this DCF build under a Gordon Growth terminal value, alongside three exit-multiple methods (EV/EBITDA, EV/EBIT, and P/E), each run across Low, Mean, and High peer-multiple scenarios. Our blended target weights Gordon Growth most heavily (40%) given PriceSmart's long operating history and lack of a clear exit event, with EV/EBITDA and EV/EBIT weighted next (25% each) to consider market valuation, and P/E weighted lowest (10%), given that it is not capital structure neutral. This weighted produces a base case blended target of **\$124.89**, implying **26.30% downside** from the current \$169.46 share price. The bear case suggests a weighted price of \$94.85 with a -44.03% downside, and a bull case with a target price of \$181.26 with a 6.96% upside.

TABLE: Implied weighted price: WACC by Perpetuity Growth sensitivity

WACC	Perpetuity Growth rate					
	\$124.89	1.00%	2.00%	3.00%	4.00%	5.00%
5.85%	132.86	141.79	156.98	188.61	294.64	
6.85%	122.53	128.24	136.92	151.70	182.44	
7.83%	114.53	118.50	124.10	132.64	147.21	
8.85%	107.61	110.46	114.29	119.69	127.90	
9.85%	101.82	103.97	106.75	110.47	115.73	

TABLE: Implied DCF price: WACC by Perpetuity Growth sensitivity

WACC	Perpetuity Growth rate					
	\$94.50	1.00%	2.00%	3.00%	4.00%	5.00%
5.85%	97.77	120.09	158.08	237.14	502.23	
6.85%	80.90	95.18	116.89	153.82	230.68	
7.83%	69.19	79.10	93.12	114.46	150.89	
8.85%	60.08	67.21	76.78	90.29	110.82	
9.85%	53.22	58.58	65.52	74.83	87.97	

Key Risks

Taxation Policy

PriceSmart pays VAT and income taxes across most countries it operates in. In most of these markets, governments require credit card processors to remit a portion of card-based sales directly to the government as advance payments of VAT and/or income tax. This disrupts the natural offset between VAT paid and VAT collected, leaving PriceSmart with a net VAT receivable pursued through refund claims that the company states can take several months to several years, with some jurisdictions lacking a clearly defined recovery process. Additionally, some countries assess tax as a percentage of sales rather than net income, increasing pressure on profitability, an impact shown to be significant in our model's regional cases.

Cash Retention

Many countries impose FX limitations on currency that can be converted to dollars. A large portion of PriceSmart's cash is kept in the countries where it is earned, creating a liquidity issue if cash flow from one jurisdiction is needed elsewhere. PriceSmart's Trinidad subsidiary is the clearest disclosed example: the company has been unable to convert Trinidad dollars into U.S. dollars or other tradable currencies since fiscal 2017, with balances reaching \$100.5 million (November 2020) and \$44.1 million (May 2026). PriceSmart states this illiquidity also increases its FX exposure to local currency devaluation.

Natural Disaster Exposure

PriceSmart operates many clubs in countries frequently affected by natural disasters, particularly in Central America and the Caribbean, where hurricane season poses recurring risk. PriceSmart's 10-K discloses exposure to weather and natural disaster risks not fully compensated by insurance, including earthquakes, hurricanes, and volcanic activity. As a disclosed example, the company's U.S. Virgin Islands club closed for nine days after Hurricanes Irma and Maria in fiscal 2018, then operated under limited hours for 16 additional days under a government curfew, with damaged roads restricting customer access afterward. From 1980–2025, natural disasters destroyed an estimated \$270 billion in Caribbean regional assets, of which roughly 71% was uninsured.

Developing Economies Political Risk

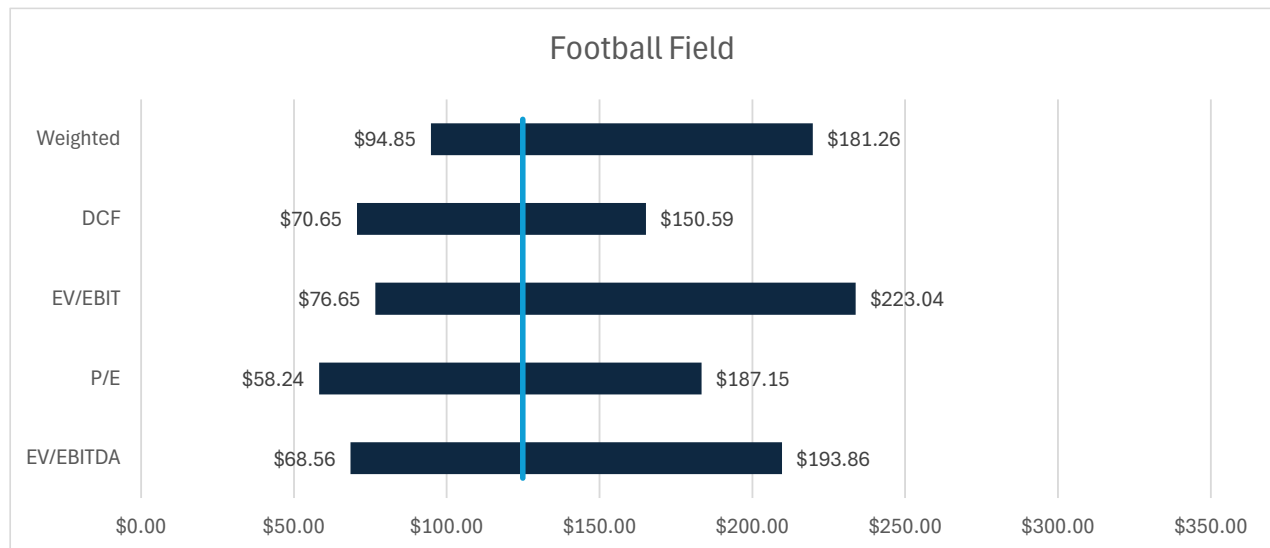
PriceSmart operates in jurisdictions carrying political and economic risk associated with developing economies, including the risk of adverse government action against its stores and operations. PriceSmart's 10-K states a significant decline in the economies where its clubs operate may lead to increased governmental ownership or

regulation, higher interest rates, and higher tariffs and taxes. This is consistent with the broader pattern of political risk in emerging markets: expropriation (government seizure of foreign-owned assets, sometimes evolving into nationalization), political violence, and currency inconvertibility limiting profit repatriation.

Recommendation

We rate PriceSmart, Inc. (NASDAQ: PSMT) SELL, with a blended price target of \$124.89, implying 26.30% downside from the current share price of \$169.46.

The three pressures outlined in this report, undisclosed efficiency gains needed to sustain margins at the current pace of expansion, a structurally long capital payback concentrated in South America, and a valuation multiple inconsistent with PriceSmart's actual regional risk profile, compound rather than offset one another. Slower-than-priced-in margin expansion lengthens an already extended payback window in the region carrying the most forward growth capital, while the market continues to price the business closer to its low-risk, single-jurisdiction format peers than to the direct regional comparables that share its currency, regulatory, and repatriation exposure. We view this combination as sufficient to support our blended price target and SELL rating.



Proforma 3 statements

Income Statement										
	2021A	2022A	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Revenue	3,619,871	4,066,093	4,411,842	4,913,898	5,270,094	5,744,423	6,301,688	6,632,930	7,062,820	7,464,615
COGS	(2,975,338)	(3,384,945)	(3,652,511)	(4,066,974)	(4,355,722)	(4,749,156)	(5,207,057)	(5,477,960)	(5,829,729)	(6,158,681)
Gross Profit	644,533	681,148	759,331	846,924	914,372	995,266	1,094,631	1,154,970	1,233,091	1,305,933
Sg&A	(420,503)	(444,949)	(486,447)	(541,201)	(591,234)	(663,145)	(730,049)	(819,173)	(869,120)	(936,560)
EBITDA	224,030	236,199	272,884	305,723	323,138	332,121	364,582	335,796	363,971	369,373
D&A	(64,983)	(67,868)	(72,698)	(82,611)	(88,161)	(88,233)	(105,722)	(63,148)	(79,115)	(65,431)
EBIT	159,047	168,331	200,186	223,112	234,977	243,888	258,859	272,649	284,856	303,942
Interest	(5,231)	(7,410)	(1,149)	(1,910)	(1,376)	(3,381)	(1,454)	875	3,756	6,897
Other Expenses Before Tax	(6,630)	(4,500)	(29,826)	(19,775)	(27,103)	(17,788)	(19,513)	(20,539)	(21,870)	(23,114)
Pre-tax Income	147,186	156,421	169,211	201,427	206,498	222,720	237,892	252,984	266,741	287,725
Taxes	(48,969)	(51,858)	(59,951)	(62,618)	(58,617)	(71,861)	(76,757)	(81,626)	(86,065)	(92,835)
Income (loss) of Unconsolidated Affi	(58)	(10)	(55)	66	6	0	0	0	0	0
Minority Interest (After Tax)	(196)	(19)	-	-	-	0	0	0	0	0
Net Income	97,963	104,534	109,205	138,875	147,887	150,859	161,136	171,358	180,677	194,890
Gross Margin	17.81%	16.75%	17.21%	17.24%	17.35%	17.33%	17.37%	17.41%	17.46%	17.49%
EBITDA/Revenue Margin	6.19%	5.81%	6.19%	6.22%	6.13%	5.78%	5.79%	5.06%	5.15%	4.95%
SG&A/Revenue	11.62%	10.94%	11.03%	11.01%	11.22%	11.54%	11.58%	12.35%	12.31%	12.55%
EBITDA Growth		5.43%	15.53%	12.03%	5.70%	2.78%	9.77%	-7.90%	8.39%	1.48%
SG&A Growth		5.81%	9.33%	11.26%	9.24%	12.16%	10.09%	12.21%	6.10%	7.76%
D&A Growth		4.44%	7.12%	13.64%	6.72%	0.08%	19.82%	-40.27%	25.29%	-17.30%
Net Income Margin	2.71%	2.57%	2.48%	2.83%	2.81%	2.63%	2.56%	2.58%	2.56%	2.61%
Tax/Net Income	49.99%	49.61%	54.90%	45.09%	39.64%	47.63%	47.63%	47.63%	47.63%	47.63%
Drivers										
Effective Tax Rate	33%	33%	35%	31%	28%	32%	32%	32%	32%	32%
Scenario Analysis of South America										
Effective tax rate										
Base						32%	32%	32%	32%	32%
Bull						28%	28%	28%	28%	28%
Bear						35%	35%	35%	35%	35%

Cashflows Statement										
	2021A	2022A	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Operating Activities										
Net Income	98,159	104,553	109,205	138,875	147,887	150,859	161,136	171,358	180,677	194,890
Depreciation, Depletion and Amortiz	64,983	67,868	72,698	82,611	88,161	88,233	105,722	63,148	79,115	65,431
Gain/loss on Sale of Property, Plant	1,027	1,265	744	2,168	2,467	0	0	0	0	0
Other Non-Cash Adjustments	(3,848)	(3,227)	7,273	(4,700)	(4,456)	0	0	0	0	0
Stock based Compensation	18,424	16,803	16,574	17,293	18,812	19,376	19,958	20,556	21,173	21,808
Chnges in NWC	(51,579)	(65,433)	50,837	(28,658)	8,436	25,897	6,168	4,197	5,584	4,558
Cash Flow from Operating Activities	127,166	121,829	257,331	207,589	261,307	284,365	292,984	259,260	286,549	286,687
Operating Margin	3.51%	3.00%	5.83%	4.22%	4.96%	4.95%	4.65%	3.91%	4.06%	3.84%
Investing Activities										
Additions to Property and Equipmen	(113,174.00)	(120,660.00)	(142,511.00)	(168,545.00)	(158,134.00)	(154,741)	(185,412)	(110,747)	(138,750)	(114,751)
Proceeds From Sale of Property, Pl	385.00	193.00	361.00	1,660.00	2,403.00	1,159	1,235	1,326	1,380	1,448
Proceeds from the Disposal of Aero	-	4,959.00	-	-	-	0	0	0	0	0
Purchases of Short-term Investment	(69,460.00)	(22,469.00)	(138,784.00)	(183,692.00)	(79,563.00)	0	0	0	0	0
Proceeds from Settlement of Short-t	65,528.00	61,733.00	58,852.00	175,127.00	106,413.00	0	0	0	0	0
Purchase of Long-term Investments	(1,478.00)	-	-	-	-	0	0	0	0	0
Proceeds from Settlement of Long-t	1,478.00	1,488.00	-	-	-	0	0	0	0	0
Cash Flow from Investing Activities	(116,721)	(74,756)	(222,082)	(175,450)	(128,881)	(153,582)	(184,177)	(109,421)	(137,369)	(113,303)
Financing Activities										
Proceeds from Long-term Bank Borr	17,565	30,633	38,713	16,500	92,930	38,675	53,418	32,437	17,934	3,729
Repayments of Long-term Bank Borr	(19,993)	(22,697)	(35,984)	(26,320)	(37,372)	(38,675)	(53,418)	(32,437)	(17,934)	(3,729)
Draw (Paydown) of Short term Bank f	(64,983)	12,673	(2,381)	(558)	4,083	(12,286)	0	0	0	0
Purchase of Treasury Stock	(5,542)	(6,259)	(12,863)	(73,486)	(6,710)	(5,000)	(5,000)	(5,000)	(5,000)	(5,000)
Cash Dividend Payments	(21,988)	(26,559)	(28,540)	(66,162)	(38,733)	(47,284)	(50,506)	(53,710)	(56,630)	(61,085)
Other Financing Activities	(196)	-	-	-	-	0	0	0	0	0
Cash Flow from Financing Activities	(95,137)	(12,209)	(41,055)	(150,026)	14,198	(64,570)	(55,506)	(58,710)	(61,630)	(66,085)
Other Adjustments										
Foreign Exchange Rate Effect on Ca	(3,600)	1,030	6,635	1,996	2,356	0	0	0	0	0
Beg. Cash Balance	303,771	215,479	251,373	252,202	136,311	285,291	351,504	404,805	495,935	583,484
Cash Flow Net Changes in Cash	(88,292)	35,894	829	(115,891)	148,980	66,213	53,301	91,130	87,549	107,299
End. Cash Balance	215,479	251,373	252,202	136,311	285,291	351,504	404,805	495,935	583,484	690,783
Drivers										
Stock based Compensation as a % o	0.51%	0.41%	0.38%	0.35%	0.36%	0.40%	0.40%	0.40%	0.40%	0.40%
Provision for Doubtful Accounts as a	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Deferred Income Taxes as a % of Ti	7.87%	6.36%	9.31%	7.38%	7.51%	7.69%	7.69%	7.69%	7.69%	7.69%



	2021A	2022A	2023A	2024A	2025A	Balance Sheet				
						2026F	2027F	2028F	2029F	2030F
Assets										
Cash and Cash Equivalents	202,060	237,710	239,984	125,364	241,024	307,237	360,538	451,668	539,217	646,516
Restricted Cash	13,419	13,663	12,218	10,947	44,267	44,267	44,267	44,267	44,267	44,267
Short-term Investments	50,233	11,160	91,081	100,165	73,186	73,186	73,186	73,186	73,186	73,186
Receivables	12,359	13,391	17,904	18,847	17,400	21,188	23,243	24,465	26,051	27,533
Merchandise Inventories	389,711	464,411	471,407	528,678	560,730	624,971	685,267	720,713	766,844	809,900
Prepaid Expenses and Other Current Assets	39,194	43,894	53,866	57,910	71,059	67,900	74,486	78,402	83,483	88,232
Operating Lease Right-of-use Asset	123,655	111,810	114,201	96,415	113,479	97,460	108,772	106,787	104,975	102,933
Property, Plant and Equipment, Net	730,204	757,241	850,328	936,108	996,281	1,061,630	1,140,085	1,186,358	1,244,612	1,292,484
Equity-method Investment	10,544	10,534	10,479	6,882	6,889	6,889	6,889	6,889	6,889	6,889
Deferred Income Taxes	24,225	28,355	32,039	36,618	41,229	41,229	41,229	41,229	41,229	41,229
Goodwill	45,095	43,303	43,110	43,197	43,238	43,238	43,238	43,238	43,238	43,238
Other Intangibles-net	7,762	-	-	-	-	0	0	0	0	0
Other Assets	57,329	72,928	68,991	61,563	60,375	60,375	60,375	60,375	60,375	60,375
	1,705,790	1,808,400	2,005,608	2,022,694	2,269,157	2,449,570	2,661,576	2,837,577	3,034,366	3,236,782
Liabilities										
Accounts Payable	388,791	408,407	453,229	485,961	506,949	580,621	636,603	669,723	712,729	752,946
Accrued Salaries, Benefits and Related Expenses	41,896	44,097	45,441	48,263	52,478	60,134	66,738	70,466	75,529	79,692
Other Accrued Expenses and Other	39,736	38,667	57,273	50,035	57,627	62,852	68,916	72,481	77,120	81,450
Short-term Borrowings	-	10,608	8,679	8,007	12,286	0	0	0	0	0
Long Term Debt	129,505	137,271	139,680	130,360	186,597	186,597	186,597	186,597	186,597	186,597
Operating Lease Liabilities	137,782	125,987	129,816	111,260	130,174	114,155	125,467	123,482	121,670	119,628
Income Tax Payable	12,470	12,458	14,473	11,278	11,689	11,689	11,689	11,689	11,689	11,689
Deferred Income	26,898	29,228	32,613	38,079	43,061	47,275	53,731	58,098	63,772	68,907
Deferred Tax Liability	1,568	2,165	1,936	1,644	1,100	1,100	1,100	1,100	1,100	1,100
Minority Interest	869	-	-	-	-	0	0	0	0	0
Other Long-term Liabilities	10,930	8,439	15,425	14,842	19,824	19,824	19,824	19,824	19,824	19,824
Liabilities	790,445.00	817,327.00	898,565.00	899,729.00	1,021,785.00	1,084,247.06	1,170,665.03	1,213,460.97	1,270,030.44	1,321,833.50
Shareholders' Equity										
Common Stock - Par Value	3	3	3	3	3	3	3	3	3	3
Additional Paid in Capital	465,015	481,406	497,434	514,542	529,354	548,343	567,901	588,047	608,796	630,168
Treasury Stock - Common	(26,084)	(31,644)	(43,961)	(117,262)	(119,972)	(124,584)	(129,185)	(133,774)	(138,351)	(142,915)
Retained Earnings (Accumulated Debits)	658,919	736,894	817,559	890,272	999,426	1,103,000	1,213,631	1,331,280	1,455,326	1,589,131
Accumulated Other Comprehensive Income	(182,508)	(195,586)	(163,992)	(164,590)	(161,439)	(161,439)	(161,439)	(161,439)	(161,439)	(161,439)
	915,345	991,073	1,107,043	1,122,965	1,247,372	1,365,323	1,490,911	1,624,116	1,764,335	1,914,948
L+E	1,705,790	1,808,400	2,005,608	2,022,694	2,269,157	2,449,570	2,661,576	2,837,577	3,034,366	3,236,782
Check	0	0	0	0	0	0	0	0	0	0

Financial Performance

From FY2021 through FY2025, PriceSmart's revenue grew from \$3.62 billion to \$5.27 billion, a compound annual growth rate of approximately 9.8%, driven primarily by steady club count growth and rising comparable net merchandise sales rather than pricing. Over the same period, profitability metrics have been notably less consistent than top-line growth: Gross Margin ranged between 16.75% and 17.81%, EBITDA/Revenue between 5.81% and 6.19%, and Net Income Margin declined from 2.71% in FY2021 to 2.48% in FY2023, before FY2025 Net Income of \$147.9 million implied a partial recovery. This pattern, steady revenue growth alongside a margin profile that compresses more often than it expands, is the historical basis for Thesis 1's forward assumption that margins continue to face pressure as the store base scales without a disclosed efficiency roadmap to offset it.

Forecast Methodology

Each line-item driver in our forecast is set at its trailing five-year average, except where the historical data is materially skewed by a non-recurring or lumpy year, in which case the median is used instead to avoid over-weighting an outlier year. Base, bull, and bear scenarios are constructed as either a flat 1-percentage-point shift to the relevant margin or rate, or a proportional shift scaled to the driver's own magnitude, whichever is the more appropriate adjustment given the metric in question. Club buildout pacing by region across scenarios is not formula-driven; it reflects our judgment of what is reasonable given each region's historical buildout cadence and management's disclosed near-term store pipeline, rather than a mechanical extrapolation of past growth rates.

Legal Disclaimer / Analyst Certification

Analyst Certification



I, Nicolas Rivera Mendoza, certify that the views expressed in this report accurately reflect my personal analysis and opinions regarding PriceSmart, Inc. and its securities, and that no part of my compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this report.

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